RFP for Pension Fund Consulting Services
Questions and Answers

1. Can you provide some color as to why the City is considering a potential change? I'm hoping to understand what items may be most critical to the City of Creve Coeur going forward. Also, can you share with me how many RFP's have been sent? We have sent 21 out. We are doing our due diligence in sending out a proposal every so many years and the last one was done in 2013. Some board members have questioned the allocation structure, the percentage in fixed vs equities, what performance benchmarks should be used, as well as other things, so I don't think that the board really knows what they are looking for specifically, but more wondering if they need to make a change in how things are being done or if what they are doing, is the best for the Plan. I think they are really looking for some consulting advice on how to best structure and manage the Plan. The current structure may be ok, but they want someone else to help them figure that out.
2. Is there intent to keep portfolio split like it is now (Commerce Trust // Fiduciary Advisors) or a hope to consolidate? No preference? Don't know. Will see what recommendations are in proposals.
3. Our firm provides both advisory and discretionary (OCIO) services to institutional clients. Would you like us to answer with both solutions in mind? Or specifically one or the other? Both would probably be best.
4. Are you able to share what your organization currently pays (fixed fee/bps) for advisory or investment management services? $20K year for advisory of Equity investments (70% of Plan Funds) held by Fiduciary Advisors and .30% first $10M, .20% next $40M, and .15% on remaining balance for the Fixed investments (30% of Plan Funds) which is our custodian and paying agent held by Commerce Bank.
5. What is the timeline for making a decision? Estimate a decision will be made in June.
6. What is the reason the city has issued the RFP? Contract expiration of current vendor or some other reason? We are doing the RFP because it's best practice to do every so often and we haven't done since 2013.
7. Which firm currently provides these services and is the firm eligible to rebid? Currently, we use Fiduciary Advisors to consult and manage the equity investments of the Pension Plan, and we use Commerce Bank as the investment manager, custodian and paying agent of the fixed income investments of the Pension Plan. Both are eligible to rebid.
8. The RFP indicates that it is for the benefit of city employees, including police. Are there multiple plans within a master trust or are you simply just highlighting that the police fall under the same plan? We also have LAGERS, but think it was to emphasize that the Police fall under the Plan as well
9. For fee purposes, are you considering selecting one investment advisor (discretionary investment manager) or are you looking at separating fixed income and equities? We don't know and are leaving it up to the proposals to give recommendations.
10. As indicated in the RFP, Commerce is the custodian and investment advisor for the fixed income. Fiduciary appears to be using Schwab as their custodian. How are you consolidating the two for accounting/performance purposes? Fiduciary Advisors combines both in overall quarterly reporting, but Creve Coeur reconciles both separately every month.
11. For the pension disbursements can you provide me with the number of monthly payments as well as the estimated annual lump sums? We disburse almost $2M per year to about 81 retirees.